Sanlam Kenya Plc Results

Audited Financial Statements for the period ended 31 December 2019

MESSAGE FROM THE DIRECTORS

The Board of Directors of Sanlam Kenya Plc announces the Group's financial results for the year ended 31st December 2019.

Financial performance 2019

In 2019, the Group reported an improvement in operating results, posting a pre-tax profit of Kes 550 million compared to a prior year's loss before tax of Kshs. 2.1 billion. The profit after tax attributable to the shareholders grew to Kshs. 114 million compared to a prior year's loss after tax of Kshs. 1.98 billion. Total income at Kshs. 8.9 billion was a 50% improvement compared to the previous year's, while net benefits, claims and expenses increased by 5%. Gross premium income improved by 10% as a result of growth in the short-term insurance business, while investment performance improved to Kshs. 2.7 billion compared to Kshs. 187 million that included the impact of impaired assets in 2019.

The improved performance reflects progress made by the Group's insurance subsidiaries. Long term insurance business reported a profit after tax of Kshs. 636 million compared to a prior year's loss after tax of Kshs. 627 million, while the short-term insurance business delivered a 30% growth in gross written premiums. Total capital and reserves improved by 9% to Kshs. 1.74 billion.

The business retains a positive outlook for the year 2020. Revenue and earnings from the Group's insurance business are expected to improve while investment return is expected to reflect positive results from improved asset management. The Group will continue investing in its customer value proposition through various product and process innovations.

Dividends

The Board of Directors will not be recommending the payment of dividends for the year ended 31 December 2019 (2018: Nil) at the forthcoming Annual General Meeting scheduled for Thursday 7th May 2020.

The Group Statement of Financial Position, Comprehensive Income, Statement of Changes in Equity and Abridged Cashflow Statement are an extract of the Group's Financial Statements as audited by PricewaterhouseCoopers LLP and have received an unqualified opinion dated 19th February 2020.

The financial statements below were approved by the Group's Board of Directors on 19th February 2020 and signed on its behalf by;

Dr. JPN Simba, EGH, MBS, OGW
(Chairman)

Dr. P Tumbo
(Group Chief Executive Officer)

GROUP STATEMENT OF COMPREHENSIVE INCOME

	31 Dec 2019	31 Dec 2018
	KShs '000	KShs '000
Income		
Gross premium income	6,991,588	6,345,825
Outward reinsurance premium	(1,345,042)	(974,017)
Net written premium	**5,646,546**	**5,371,808**
Fees and commission income	325,064	268,010
Investment income	2,350,289	2,183,767
Fair value gains/(losses)	422,177	(1,983,581)
Impairment of financial assets	2,624	(12,795)
Other operating revenue	152,379	86,214
Total income	**8,899,079**	**5,913,423**
Claims and expenses		
Gross benefits and claims paid	(5,532,435)	(5,544,822)
Reinsurers' share of claims	433,730	660,314
Net change in investment and contract liabilities	262,282	(239,674)
Net claims and policyholders benefits	**(4,836,423)**	**(5,124,182)**
Fee and commission expense	(993,691)	(715,134)
Cost of sales - Inventory	(20,653)	(11,697)
Other operating and administrative expenses	(2,040,589)	(2,000,047)
Finance costs	(457,637)	(191,863)
Total benefits, claims and other expenses	**(8,348,993)**	**(8,042,923)**
Profit/(loss) before share of profit of an associate	**550,086**	**(2,129,500)**
Share of loss of an associate	-	314
Profit/(loss) before tax	**550,086**	**(2,129,186)**
Income tax (expense)/credit	(435,687)	149,760
Profit/(loss) for the year after tax	**114,399**	**(1,979,426)**
Other comprehensive income;		
Other comprehensive income net of tax	-	-
Total comprehensive income/(loss) for the year	**114,399**	**(1,979,426)**

GROUP STATEMENT OF COMPREHENSIVE INCOME (continued)

Profit/(loss) attributable to:		
Equity holders of the parent	113,334	(2,017,061)
Non controlling interest	1,065	37,635
Earnings Per Share		
Basic	**0.79**	**(14.01)**
Diluted	**0.79**	**(14.01)**
Shares used for calculating earnings per share	144,000,000	144,000,000

GROUP STATEMENT OF FINANCIAL POSITION

	31 Dec 2019	2018
	Kshs. '000	Kshs. 000
Assets		
Property and equipment	735,457	232,514
Right-of-use assets	94,907	-
Investment property	2,518,680	3,440,700
Intangible assets	76,972	98,721
Investment in associate	17,779	17,779
Deferred income tax	153,655	236,551
Financial assets		
Equity securities at fair value through profit or loss	1,933,402	2,579,271
Government securities		
- At fair value through P&L	18,681,638	15,167,215
Corporate bonds		
- At fair value through P&L	53,695	1,254,774
- At amortized cost	-	14,746
Loans	379,766	504,851
Deferred acquisition costs	123,773	151,292
Reinsurance share of insurance contract liabilities	751,534	819,376
Inventory	89,564	109,189
Current income tax	68,624	52,341
Insurance receivables	938,571	843,841
Receivables and other financial assets	319,297	449,362
Deposits with financial institutions	544,763	2,275,478
Cash and bank balances	650,529	403,629
Non-current assets held for sale	900,000	450,000
Total Assets	**29,032,606**	**29,101,630**
Capital and reserves		
Issued share capital	720,000	720,000
Statutory fund	1,312,284	676,720
Retained earnings	(591,199)	(68,620)
Shareholder's funds	1,441,085	1,328,100
Non-controlling interests	293,937	258,938
Total Capital and Reserves	1,735,022	1,587,038
Liabilities		
Borrowings	2,763,210	3,497,432
Insurance contract liabilities	14,532,693	14,816,647
Investment contract liabilities	5,073,450	5,340,462
Payables under deposit administration contracts	1,131,718	1,107,372
Unearned premium	1,265,707	899,653
Deferred income tax	649,620	360,397
Provisions	34,619	51,925
Current income tax	11,185	47,322
Insurance payables	972,237	688,646
Lease liabilities	85,643	-
Payables and other charges	777,502	704,736
Total Liabilities	27,297,584	27,514,592
Total Equity and Liabilities	**29,032,606**	**29,101,630**

GROUP STATEMENT OF CHANGES IN EQUITY

	31 Dec 2019	31 Dec 2018
	KShs '000	KShs '000
Issued share capital	720,000	720,000
Statutory fund	1,312,284	676,720
Retained earning	(591,199)	(68,620)
Shareholders' funds	1,441,085	1,328,100
Non controlling interest	293,937	258,938
Balance at end of the year	**1,735,022**	**1,587,038**

ABRIDGED CASH FLOW STATEMENT

	31 Dec 2019	31 Dec 2018
	KShs '000	KShs '000
Cash flows from operating activities	(1,804,652)	(3,041,100)
Cash from investing activities	1,403,186	904,170
Cash flows from financing activities	(1,082,349)	2,274,828
Net (decrease)/increase in cash resources	(1,483,815)	137,896
Cash resources at the beginning of the year	2,679,107	2,541,211
Cash resources at the end of the year	**1,195,292**	**2,679,107**

GROUP EMBEDDED VALUE

The embedded value represents an estimate of the value of the Group. It excludes the value attributable to minority interests and goodwill attributable to future new business.

The embedded value comprises:

a) The value of the shareholders' equity net of the cost of the Capital Adequacy Requirement (CAR); and
b) The value of the in-force business.

The value of the in-force is the present value of future profits arising from business in force at the valuation date, discounted at the risk discount rate.

	31 Dec 2019	31 Dec 2018
	KShs '000	KShs '000
Embedded Value Results		
Shareholders' equity, excluding goodwill	580,089	313,239
Fair Value Adjustments to Net Assets	-	-
Net value of in-force	**822,170**	**1,832,062**
Gross value in-force	2,112,758	3,316,110
Tax provision	(633,827)	(994,832)
Cost of CAR	(656,761)	(489,216)
Embedded value at end of period	**1,402,259**	**2,145,301**
Embedded value earnings		
Embedded value at end of period	(1,402,258)	2,145,301
Embedded value at beginning of period	(2,145,301)	(4,442,742)
Change in embedded value	**(743,043)**	**(2,297,441)**
Dividends paid	-	-
Embedded value earnings	**(743,043)**	**(2,297,441)**
These earnings can be analysed as follows:		
Adjustment to fair value of subsidiary	151,064	(84,178)
Roll forward	**430,314**	**(513,460)**
Investment return on free assets	9,001	(861,587)
Expected return on life business in force	421,313	348,127
Change over the period	**(1,324,421)**	**(1,699,803)**
Value of new business	(69,140)	(90,202)
Change in assumptions and methodology	(413,895)	39,126
Experience variations	(321,607)	(100,905)
Decrease in NAV for other subsidiaries & associates	(519,779)	(1,547,822)
Total earnings	**(743,043)**	**(2,297,441)**
Value of new business		
Value at point of sale (gross of tax)	(41,463)	(78,285)
Tax on value at point of sale	12,439	23,486
Cost of CAR at point of sale	(40,116)	(35,403)
Value of new business	**(69,140)**	**(90,202)**

Sanlam

20th February 2020

The Chief Executive
Nairobi Securities Exchange
55 Westlands Road
NAIROBI

Dear Sir

SANLAM KENYA PLC - AUDITED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2019

In accordance with the respective Statutory Requirements; we write to advice you as follows:

a) **Approval of Financial Results for the Year ended 31 December 2019**

The Board of Directors of Sanlam Kenya Plc has approved the audited financial results for the year ended 31 December 2019.

b) **2020 Annual General Meeting**

The Board of Directors has resolved to hold the Annual General Meeting of the Company on Thursday 7th May 2020.

c) **Dividend**

The Board of Directors does not recommend the payment of a dividend for the financial year ended 31st December 2019.

A public announcement on the above matters will be published in the Daily Nation and the Standard, tomorrow, Friday, 21st February 2020. An advance copy is enclosed herein.

We shall be obliged if you would kindly acknowledge receipt on the duplicate of this letter.

Yours faithfully

Dr Patrick Tumbo
Group Chief Executive Officer

Encls

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Regulated by the Insurance Regulatory Authority

Sanlam

Media Release

Sanlam Kenya seals full year profit score with a Kshs 550million pre-tax profit in 2019

20/02...Local non-bank financial services provider Sanlam Kenya PLC has cemented its corporate recovery and return to full-year profitability following the release of the firm's 2019 trading results.

Emerging from a Kshs 2.1 billion pre-tax loss, the Nairobi Securities Exchange (NSE) listed firm with interests in Life and General Insurance business segments, has bounced back to full-year profitability, posting a Kshs 550 million pre-tax profit.

Sanlam Kenya Group CEO Dr. Patrick Tumbo attributed the firm's full-year return to profitability on the consistent execution of a corporate turnaround strategy. The strategy, Tumbo said, had focused on improving the firm's operating efficiencies while paying particular attention to client service.

The firm, Tumbo said, retains a positive outlook for the current financial year with revenues and earnings from the Group's core insurance business expected to improve. Investment returns are also expected to reflect positive results from improved asset management.

"At Sanlam Kenya, we have been pursuing our earlier announced strategy that focused on cost containment and aggressively growing our revenue base in the short and medium-term. The full-year results reflect the success of this strategy and provide a good foundation for sustained growth.

Ongoing stakeholder partnerships, product and process innovations in 2020 will translate to a better and improved customer journey," Tumbo said.

Within the period under review, the Sanlam Kenya group posted improved results posting a pre-tax profit of Kes 550 million compared to a prior year's loss before tax of Kes 2.1 billion. Total revenues from gross written premium and investment income improved by a remarkable 50% compared to the previous year, while total outflows from policyholder benefits and expenses increased by 4%. Gross written premium improved by 10% as a result of 30% growth in the short-term insurance business. At the same time, investment income performance made a complete

turnaround reporting Kshs 2.7 billion in revenues compared to Kshs 187 million that included the impact of impaired assets in the previous year.

Sanlam Kenya's improved performance reflected the positive strides made by the Group's insurance subsidiaries.

Sanlam Life, the firm's long term insurance business reported a complete turnaround to profitability posting a pre-tax profit of Kshs 964 million compared to prior year's loss of Kshs 853 million. Sanlam General, the firm's short-term business maintained its profitability score on the back of a 30% growth in gross written premiums.

Ends